

The same logic applies if you were to start a business overseas. Let us say you are a . . . ahem . . . writer. And let us say you have a book contract that will pay you \$100,000. Theoretically, you could assign the contract to a company in a tax haven. Instead of getting paid \$100,000, the company could pay you \$50,000. That would be obviously taxable income. But what about the other \$50,000? You might think it is nontaxable because your company is not subject to taxes in the place it is located. But it's not that simple. If the tax haven company is a U.S.-controlled foreign company, the IRS reserves the right to look into the company and determine the real source of its earnings and the real beneficial owners of the money. On these facts, the income would be reassigned to you.

This is not true, however, of real earnings of a foreign-based but not U.S.-controlled business. Imagine a business that sells cigarettes on a street corner in the Cayman Islands. Such a business would pay taxes locally. If it paid you a salary, you would pay current taxes only on that.

To glide over millions of complications, generally, you can play games. But it's not worth it—at least to us. If you are an American, it is probably best to believe that you will be taxed like other Americans, no matter how many corporations and bank accounts you set up.

However, if you are not an American or if the businesses or trusts you set up are not controlled by or granted by U.S. taxpayers, it is a much different matter. There is the trick. There is the game. There is the goal. While there are many ways to reduce taxes, in our opinion, the family with long-term wealth ambitions should try to develop businesses, trusts, and assets outside the long reach of U.S. tax authorities.

Why? Are U.S. taxes really higher? No. Are U.S. tax collectors more aggressive? Not necessarily. The reason is that having wealth outside the United States gives you a little room to maneuver.

This may seem odd or even evil, but remember that the person who wants to conserve money over several generations—generally a person who might be considered “rich”—must try to pay less tax than people of more modest means. We have seen what time does to money. It wears it down. It wears it out. And it whacks it with unexpected losses. You protect yourself by having businesses and investments that make enough gains to offset the losses and by reducing the impact of fees, taxes, and inflation.